

EXHIBIT I

DECLARATION OF CONDOMINIUM
ESTABLISHING
GATEHOUSE DOCK CONDOMINIUM

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DECLARATION OF CONDOMINIUM
ESTABLISHING
GATEHOUSE DOCK CONDOMINIUM

GATEHOUSE DEVELOPMENT CORP., a Florida corporation (hereinafter referred to as "Developer"), having its principal place of business at 1st Bank Plaza, Suite 300, Lake Zurich, Illinois 60047, does hereby make, declare and establish this Declaration of Condominium as used for the plan of ownership of Gatehouse Dock Condominium being the property and improvements hereinafter described.

ARTICLE I

DEFINITIONS

The terms used herein and in the By-Laws, annexed hereto as Exhibit E, shall have the meanings stated as follows, unless the context otherwise requires:

A. "ASSESSMENT" means a share of the funds required for the payment of common expenses, which from time to time are assessed against the Dock Owner.

B. "ASSIGNS" means any person to whom rights of a Dock Owner have been validly transferred by lease, mortgage or otherwise.

C. "ASSOCIATION" or "CONDOMINIUM ASSOCIATION" means Gatehouse Dock Condominium Association, Inc., the entity responsible for the operation of the Condominium.

D. "BOARD OF ADMINISTRATION" or "BOARD" or "ADMINISTRATORS" means the board of directors responsible for administration of the Association.

E. "BOATS, SHIPS, OR VESSELS" means any vehicle capable of navigation on water.

F. "BY-LAWS" means the governing regulations adopted by the Gatehouse Dock Condominium Association, Inc., existing from time to time pursuant to the Florida Condominium Act, Florida Statutes, §§ 718.101, et seq.

G. "CLUB" means the Ocean Reef Club, an unincorporated association, the membership of which is composed of all property Owners in the Complex plus certain other individuals who are not Owners of property in the Complex.

H. "COMMON ELEMENTS" means the portions of the Condominium property not included in the Docks, and includes the following:

1. All items provided for in the Florida Condominium Act FS 718 et. seq.
2. All Condominium Property not included in the Docks or designated as Limited Common Elements.

I. "COMMON EXPENSES" means all expenses and assessments properly incurred by the Association for the Condominium, including:

1. all expenses of operation, maintenance, repair or replacement of the common elements;
2. costs of carrying out the powers and duties of the Association; and
3. any other expenses designated as common by the Condominium Act, the Declaration or the By-Laws.

J. "COMMON INTEREST" means the proportionate undivided interest in fee simple in the common elements and the common surplus appurtenant to each Dock as expressed in the Declaration.

K. "COMMON RECEIPTS" means:

1. funds collected from Dock Owners for payment of common expenses or otherwise; and
2. receipts designated as common by law, the Declaration or the By-Laws.

L. "COMMON SURPLUS" means the excess of all common receipts over all common expenses.

M. "CONDOMINIUM" means that form of ownership of real property created pursuant to the Florida Condominium Act and under a Declaration providing for ownership by one or more Owners of Docks of improvements together with an undivided interest in common elements appurtenant to each such Dock.

N. "CONDOMINIUM PROPERTY" means the lands, leaseholds and personal property that are subjected to condominium ownership, whether or not contiguous, and all improvements thereon and all easements and rights appurtenant thereto intended for use in connection with the Condominium.

O. "DECLARATION OF CONDOMINIUM" or "DECLARATION" means the instrument by which the Condominium is created, as it may be amended or supplemented from time to time.

P. "DEVELOPER" means Gatehouse Development Corp., a Florida corporation, its successors and assigns, which corporation is the successor Developer to Ocean Reef Club, Inc., which originally created the Condominium and offered Docks for sale or lease in the ordinary course of business.

Q. "INSTITUTIONAL LENDER" means a bank, savings and loan association, insurance company, FHA approved mortgage lender, or business trust.

R. "LIMITED COMMON ELEMENTS" means those common elements which are for the use of one or more specified Docks to the exclusion of other Docks.

S. "MAJORITY" or "MAJORITY OF THE SLIP OWNERS" means the Owners of more than 50% of the aggregate in interest of the undivided ownership of the common elements.

T. "MANAGING AGENT" means the entity employed by the Association to assist in the supervision and operation of the Condominium, as more particularly set forth in the Renewable Management Contract, Exhibit III to the Prospectus.

U. "MEMBER OF THE ASSOCIATION" means the Owner or Co-owner of a Dock.

V. "OCEAN REEF COMPLEX" or "COMPLEX": means those properties located in North Key Largo, Monroe County, Florida, designated on the Master Plan of the Ocean Reef Club, as such Master Plan may be amended from time to time.

W. "OCEAN REEF IMPROVEMENT ASSOCIATION, INC. - ORIA" means the entity made up of all property owners in the Complex.

X. "PERSON" means an individual, firm, corporation, partnership, association, trust or other legal entity, or any combination thereof.

Y. "RULES AND REGULATIONS" means guidelines adopted by the Association concerning the use of the Condominium.

Z. "DOCK" means a part of the Condominium property, which is subject to exclusive ownership and which includes a proportionate undivided interest in the common elements and common surplus appurtenant thereto as set forth in the Declaration of Condominium or any amendment thereof.

AA. "DOCK OWNER" or "OWNER OF DOCK" means the Owner of a Condominium Parcel.

BB. "DOCK DEED" or "WARRANTY DEED" means a deed of conveyance of a Dock in recordable form.

ARTICLE II

CREATION OF CONDOMINIUM

A. In General. Developer, Gatehouse Development Corp., is the Owner of the fee simple title to the Condominium property situated in the County of Monroe and State of Florida, which property is more particularly described in Exhibit A attached hereto, and on which property Developer has the sole and exclusive right to construct condominiums and other appurtenant improvements. Developer does hereby submit the above described property and improvements to condominium ownership, and hereby declares the same to be a Condominium to be known and identified as "Gatehouse Dock Condominium".

ARTICLE III

DESCRIPTION OF CONDOMINIUM

The Condominium property is described and established as follows:

A. Survey and Plans. Annexed hereto and made a part hereof as Exhibit B, consisting of 6 pages, is a survey of the land, graphic description, and plot plans of the improvements constituting the Condominium, identifying the Docks, limited common elements and common elements and their respective locations and approximate dimensions. Each Dock is identified by specific alpha-numeric designation on Exhibit B.

B. Limits of Docks. The boundaries of each Dock are described as follows:

1. Upper and Lower Boundaries. The upper and lower boundaries of the Dock shall be the following boundaries extended to an intersection with the perimeter boundaries:
 - (a) Upper Boundaries. The upper boundaries are unlimited.
 - (b) Lower Boundaries. The horizontal plane adjoining but not including the upper surface of the wooden decking of the Dock.
2. Perimeter Boundaries. The perimeter boundaries of the Dock shall be those as shown on EXHIBIT "B".

C. Description of Appurtenances Undivided Interests. Each Dock Owner shall have an undivided share of the common elements, ownership of Common Surplus and liability for common expenses, which share and interest shall be appurtenant to the Dock, as set forth in Exhibit "C" attached hereto.

D. Limited Common Elements.

1. Supports. Fixed pilings, or other supports (herein "Fixed Pilings") situated so as to be adjacent to or capable of being used by more than one Dock shall hereby be assigned to and hereby declared to be a Limited Common Element of each such adjacent Dock. The right to the adjacent and contiguous Dock Owners' exclusive use of any Fixed Pilings shall pass as an appurtenance to the Dock to which the Fixed Piling is adjacent and/or to which an adjacent Dock is capable of using. A Dock Owner shall not transfer or assign use of the designated Fixed Pilings except in connection with the conveyance of the Dock, at which time the use of the Fixed Pilings shall pass as an appurtenance to the Dock.
2. Riparian Rights. Developer hereby grants to each Dock Owner all right, title and interest of Developer in and to the waters of Dispatch Creek which are adjacent to and abut each Dock. To the extent Developer has and can convey riparian rights, those rights are hereby declared in and to

the waters of Dispatch Creek, to be a Limited Common Element to each Dock to which the waters of Dispatch Creek abut. Each Dock owner is hereby granted the exclusive use of the waters of Dispatch Creek which abut and are adjacent to his Lock.

3. Parking Spaces. There are forty (40) numbered parking spaces shown on Exhibit "B". The twenty-eight (28) spaces bearing the same alpha-numeric designation as Docks, are hereby declared to be a limited common element for the Dock with the same alpha-numeric designation. The twelve (12) parking spaces bearing the designation "V" are hereby declared to be a common element for use of all Dock owners, their invitees and guests.

ARTICLE IV

OWNERSHIP OF DOCKS AND COMMON ELEMENTS

A. Fee Simple. Each Dock shall be conveyed as individual property in fee simple ownership. Included in the fee title to each Dock shall be the undivided interest in the common elements, common surplus and common expenses as more particularly set forth on Exhibit "C".

ARTICLE V

MAINTENANCE, ALTERATION AND IMPROVEMENT

Responsibility for the maintenance of the Condominium Property, and restrictions upon its alteration and improvement shall be as follows:

A. Docks and Fixed Pilings.

1. By The Association. The Association shall maintain, repair and replace at the Association's expense:
 - (a) All Common Elements, Limited Common Elements, pilings and supports, except as otherwise provided in these Condominium Documents.
 - (b) All conduits, ducts, plumbing, electrical cable t.v., and telephone wiring, cable T.V. wiring, and other facilities for the furnishing of utility services that service part or parts of the Condominium Property, including Docks.
2. By The Dock Owner. The responsibility of the Dock Owner for maintenance, repair and replacement shall be as follows:
 - (a) To not paint or otherwise decorate or change the appearance of any portion of the Condominium Property, Dock, Common elements or Limited Common Elements without the prior written approval of the Board.
 - (b) To promptly report to an officer and/or managing Agent of the Association any defect or need for repairs for which the Association is responsible.
 - (c) To repair and replace at his expense any portion of the Condominium Property which he negligently abuses or damages. Such repairs may be made by the Board and assessed to the Dock Owner upon notice to the Dock Owner.

B. Alteration and Improvement. Except as provided in paragraph 2(c), the cost of any alternation or improvement shall be a Common Expense and

so assessed. Any alteration or improvement shall not interfere with the rights of any Dock Owner without his consent.

C. Association's Access to Docks. The Association, the Developer, and their employees have the irrevocable right of access to each Dock during reasonable hours, when necessary for the maintenance, repair, or replacement of any Common Elements or Limited Common Elements, or when necessary for maintaining the Condominium Property or for making emergency repairs necessary to prevent damage to the Common Elements, Limited Common Elements or to another Dock or Docks.

D. Ownership and Conveyance of Undivided Interest in the Common Elements and in the Common Surplus. The undivided interest of each Dock Owner in the common elements and in the common surplus is deemed to be conveyed or encumbered with his respective Dock, even though the description in the instrument of conveyance or encumbrance may refer only to the fee title to the Dock. Each Dock Owner shall own his undivided interest as a tenant-in-common with all other Dock Owners in the Condominium and, to the extent any Docks are not sold, with Developer.

E. Change of Undivided Interest. The undivided interest appurtenant to each Dock as set forth in Exhibit "C" shall not be changed except with the unanimous consent of all of the Dock Owners.

F. Voting Rights of Dock Owners. On all matters on which the Dock Owners shall be entitled to vote, there shall be only one (1) vote for each Dock in the Condominium, which vote may be cast as set forth in the By-Laws. Should any person own more than one Dock, such person shall be entitled to cast one (1) vote for each Dock he owns.

G. Distribution of Common Surplus. The common surplus shall be held and distributed by the Association in the manner and subject to the terms, provisions and conditions hereof. Except for distribution of any insurance indemnity herein provided, or termination of the Condominium, any distribution of common surplus which may be made from time to time shall be made to the then Dock Owners in accordance with their respective interest in the Common Surplus.

ARTICLE VI

UTILIZATION

A. Boat Dockage. All Docks shall be used for boat dockage purposes only. Developer or its designees may lease out Docks or utilize Docks it owns in connection with the operation of Ocean Reef Club, without violating the spirit and intent hereof.

B. By Corporations. Whenever any Dock is owned by a corporation (other than Developer, its successors or assigns), such corporation shall permit use thereof only by its principal officers, directors or other guests; provided, however, that such corporate member shall deliver to the Association and managing Agent, from time to time, a written statement designating the name of the person(s) entitled to use such Dock and the dates of such use together with a written covenant by such person(s) to the Association, agreeing to comply with the provisions of this Declaration, the By-Laws and the Rules and Regulations, and acknowledging that the right of such person(s) to use such Dock shall exist only so long as the corporation shall continue to be a member of the Association. Upon demand by the Association to any corporate member to remove any person(s) using such corporate member's Dock for failure of such user to comply with the provisions of this Declaration, the By-Laws and/or the Rules and Regulations or for any other reason, the corporate member shall forthwith cause such user to be removed; failing which, the Association, as agent of the Owner, may take such action as it may deem appropriate to accomplish such removal. All such action by the Association shall be at the cost and expense of the Owner who shall reimburse the Association therefor upon demand, together with any attorneys' fees the Association may have incurred for such removal.

C. Use of Common Elements. Use of the common elements by Dock Owners and other authorized parties shall be subject to the Rules and Regulations, all laws, zoning ordinances and regulations of governmental authorities having jurisdiction over the Condominium.

ARTICLE VII

EASEMENTS AND LICENSES

A. Roadway Easements and Licenses. Each Dock Owner shall have a non-exclusive easement for ingress and egress to his Dock in, upon, over, across and through all roadways included within the Complex and over all other Docks within the Condominium Property. Such easement shall run with each Dock. Each Dock Owner and his family, guests, and invitees shall have an easement for pedestrian traffic over, through and across the Common Elements as may be from time to time necessary for the purpose of going from one portion of the Condominium Property to another. Each member of the Club and ORIA who does not own a Dock shall have a non-exclusive license during his tenure as a member in good standing, for the reasonable ingress and egress to and across the Common Elements and the Docks.

Nothing contained herein shall be construed to allow any person or entity to enter upon the Condominium Property unless it is upon an area specifically designated for such traffic and necessary for such ingress and egress as described above.

B. Utilities Easements. Developer hereby reserves easements through the Condominium Property as may be required for utility services, to be provided by Developer, or other utility companies to serve this Condominium and any other Condominiums in the Complex. This reservation of easement in favor of Developer and other utility companies includes the right to install and maintain all necessary equipment upon the Condominium Property and to enter upon the Condominium Property to service the same.

C. Employees' Easements. Easements of ingress, egress, passage and entry are granted to employees of the Association and of Developer.

D. Carpath Easements. Developer reserves for the benefit of Club members and O.R.I.A. members, their guests and invitees, an easement of ingress and egress over those portions of the golf cart path which is within the condominium property and which is more specifically shown on Exhibit B.

ARTICLE VIII

RESTRICTIONS CONCERNING DOCKS AND COMMON ELEMENTS

A. General Restrictions. The Docks, Limited Common Elements, and the Common Elements shall be subject to the restrictions, easements, conditions and covenants prescribed and established herein, governing the use of the Docks, Limited Common Elements and Common Elements and setting forth the obligations and responsibilities incident to ownership of each Dock. The Docks, Limited Common Elements, and the Common Elements further shall be subject to the restrictions, easements, conditions, and limitations now of record affecting the land and improvements of the Condominium. Notwithstanding anything herein to the contrary, the Association shall have the right to establish the Rules and Regulations concerning the use of the Condominium property, and impose and collect fines for violation of the Rules and Regulations.

B. Prohibition of Subdivision of Docks. No Dock shall ever be subdivided or broken into smaller parts than as shown in Exhibit B, nor shall any Dock or portion thereof be added to or incorporated into any other Dock, except as provided in paragraph C of this Article.

C. Connection of Docks. The foregoing shall not prevent a Dock from being subdivided and joined with the two Docks to which it is adjacent. The interest in the common elements, common expenses and common surplus of the two Docks to which the subdivided Dock is joined, shall increase proportionately

based on the length of the subdivided Dock which is joined. The adjacent two Docks to which the subdivided Dock is joined shall have no increase in voting rights as a result of such subdivision.

D. Prohibition of Separation of Common Elements or Easements from Docks. Any attempt to separate the fee title to a Dock from the undivided interest in the common elements and/or in the common surplus appurtenant to such Dock or from the easements appurtenant to such Dock shall be null and void.

E. Utilities. Electricity and water shall be supplied and charged to the Condominium Association.

ARTICLE IX

CONDOMINIUM ASSOCIATION

A. Incorporation. Developer shall create a Condominium Association to be known as Gatehouse Lock Condominium Association, Inc., which shall be a non-profit Florida corporation and which shall operate the Condominium and undertake and perform all acts and duties incident thereto in accordance with the terms of its Articles of Incorporation and By-Laws, copies of which are annexed hereto as Exhibits D and E, respectively.

B. Automatic Membership. Every Dock Owner automatically shall be a member of the Association upon becoming the Owner of such Dock and shall remain a member until his ownership ceases for any reason, at which time his membership shall cease automatically. Other than as an incident to a lawful transfer of title to a Dock, membership in the Association shall not be transferable and any attempted transfer shall be null and void. No person, firm or corporation holding any lien, mortgage or other encumbrance upon any Dock shall be entitled, by virtue of such lien, mortgage or other encumbrance to membership in the Association, or to any of the rights or privileges of such membership.

C. Operation. The Condominium shall be operated by the Association. The Association shall have the authority and power to: (1) enforce the provisions of this Declaration; (2) levy and collect assessments; (3) impose and collect fines; and (4) adopt, promulgate and enforce the Rules and Regulations governing the use of the Docks, Common Elements, and Limited Common Elements.

D. Developer's Representation on Board. Developer shall have the right to elect Administrators to the Board and to remove and replace any person(s) elected by it to act and serve on the Board of Administration, all as is set forth in the Articles of Incorporation and By-Laws. The Administrators elected by Developer need not reside in the Condominium. No Administrator selected by Developer shall be required to disqualify himself from voting upon any contract or lease between Developer and the Association where Developer may have a pecuniary or other interest. Developer shall not be required to disqualify itself in any vote which may come before the membership of the Association upon any contract or lease between Developer and the Association where Developer may have a pecuniary or other interest.

All rights in favor of Developer reserved in this Declaration, the Articles of Incorporation and By-Laws of the Association, are assignable to and may be exercised by Developer's successors and assigns.

E. Assessments. The Board shall have the power to fix, determine and collect from all Dock Owners, as provided in the By-Laws, the sums necessary and adequate to provide for the common expenses of the Condominium and such other expenses as are specifically provided for in this Declaration and the By-Laws.

1. Allocation. Unless otherwise stipulated, all assessments shall be levied in proportion to each Dock Owner's common interest. Should the Association be the Owner of any Dock(s), the assessment which otherwise would be due and payable to the Association on such Dock(s), shall be levied ratably among all of the Dock Owners excluding the Association, based upon their common interests.

2. Special Assessments. Should the Board at any time determine that the assessments levied are or may prove to be insufficient to pay the costs of operation of the Condominium, or should any emergency arise, the Board shall have the authority, subject to the provisions of paragraph 6 of this Article, to levy such additional assessment(s) as it may deem necessary.
3. Payment; Default. The assessment levied against each Dock Owner shall be payable at the main office of the Association in such installments and at such times as may be determined by the Board of Administration as provided in the By-Laws. The payment of any such assessment shall be in default if it is not paid to the Association on or before its due date.
4. Liens; Enforcement. The assessments shall be levied against each Dock Owner who is bound to pay them. Common expenses and assessments shall constitute a lien against each Dock and shall have the priority afforded to it by law. Actions to enforce such claims shall be in conformity with law. Each Dock Owner shall be liable personally to the Association for the payment of all such assessments. In the event of default in any such payment, the Dock Owner also shall be liable personally for interest on such delinquent payment and for all costs of collecting such payment and interest thereon, including reasonable attorneys' fees. No Dock Owner may exempt himself from liability for any assessment levied against him by waiver of the use or enjoyment of any of the common elements, or by abandonment of the Dock or in any other way.

Each such lien shall secure:

- (a) all advances for taxes, payments on account of superior mortgages, fines imposed by the Board, liens or encumbrances and any other payments which the Association may be required to pay in order to preserve and protect its lien; and
- (b) all costs and expenses, including reasonable attorneys' fees, which may be incurred by the Association in enforcing the lien upon the Dock.

Each lien herein granted to the Association shall be effective upon recording a notice of lien in the Public Records of Monroe County, Florida. A notice of lien shall state the description of the Dock encumbered thereby, the name of the record Owner, the amount due and the date when due. The lien shall continue in effect until all sums secured by it have been fully paid. Such lien shall include only assessments which are due and payable when the notice of lien is recorded, plus interest, costs, attorneys' fees, advances to pay taxes and prior encumbrances and interest thereon, all as above provided. Such notice of lien shall be signed and verified by an officer or agent of the Association. Upon full payment of all sums secured by such lien, the same shall be satisfied of record.

Assessments which are unpaid after the due date shall bear interest at the maximum rate of interest permitted by the laws of the State of Florida. Once interest has accrued, any subsequent payment shall be applied first to payment of interest and collection costs and then to the payment of the assessment first due.

The Association, acting through the Board, shall have the right to assign its lien rights for the recovery of any unpaid assessments to Developer or to any Dock Owner or group of Dock Owners, or to any third party.

A Dock Owner, regardless of how title is acquired, including a purchaser at a judicial sale, shall be liable for all assessments coming due while he is the Dock Owner. In a voluntary conveyance, the grantee shall be jointly and severally liable with the grantor for all unpaid assessments against the grantor for his share of the common expenses up to the time of the conveyance, without prejudice to any right the grantee may have to recover from the grantor the amounts paid by the grantee.

A lien granted to the Association may be foreclosed in the State of Florida. In any suit for the foreclosure of such lien, the Association, without notice to the Dock Owner, shall be entitled to: (a) rental payments from the Dock Owner from the date on which the payment of any assessment or installment thereof becomes delinquent; and (b) the appointment of a receiver for the Dock. The rental required to be paid shall be equal to the rental charged on a comparable Dock in the Condominium or in Ocean Reef Complex.

Where any person either obtains title to a Dock as a result of foreclosure of the first mortgage on the Dock or accepts a deed in lieu of foreclosure, such acquirer of title, his successors and assigns, shall not be liable for that share of common expenses or assessments pertaining to the Dock which became due prior to acquisition of title as a result of the foreclosure or the acceptance of such deed in lieu of foreclosure. Such unpaid share of common expenses shall be collectible from all of the Dock Owners, including such acquirer, his successors and assigns.

The title acquired by any purchaser following any such foreclosure sale shall be subject to all of the provisions of this Declaration, the By-Laws, the Rules and Regulations and applicable law. By so acquiring title to the Dock, the purchaser shall covenant and agree to abide and be bound thereby.

Institution of a suit at law to collect payment of any delinquent assessment shall not prevent the Association from thereafter seeking enforcement of the collection by foreclosure of any sums then owing to it. Proceeding by foreclosure to effect such collection shall not preclude the institution of a suit at law to collect any sum then owing to it.

5. Statement Verifying Assessment Status. Whenever any Dock may be sold, leased or mortgaged by its Owner in compliance with provisions of this Declaration, the Association, upon written request of the Dock Owner, shall furnish to the proposed purchaser, lessee or mortgagee, a statement verifying the status of payment of any assessment which shall be due and payable to the Association by the Dock Owner. Such statement shall be executed by any officer or authorized agent of the Association. Any purchaser, lessee or mortgagee may rely upon such statement in concluding the proposed transaction and the Association shall be bound by such statement.
6. Application of Proceeds in Event of Default. In the event that a Dock is to be sold, leased or mortgaged at a time when payment of any assessment by the Dock Owner shall be in default (whether or not a notice of lien has been recorded by the Association), then the rent, proceeds of such purchase or mortgage proceeds, shall be applied by the purchaser, lessee, or mortgagee first to payment of any then delinquent assessment or installments thereof due to the Association before the payment to the Dock Owner who is responsible for payment of such delinquent assessments.

7. Developer's Exemption. Developer shall be excused from the payment of its share of the common expenses and assessments related to Docks owned by it until the first day of the fourth calendar month following the month in which the purchase and sale of the first Dock occurs. Furthermore, pursuant to Section 718.116(8)(b) of the Florida Statutes, Developer guarantees that each Dock Owner's assessment will not be in excess of \$ 465 per month for a period of two (2) years from the date of conveyance of the first Dock to an Owner. In the event that any Dock Owner's assessment exceeds \$ 465 per month at any time during the two (2) year period, Developer hereby agrees to pay the amount of such excess.

F. Fiscal Year. The fiscal and accounting year of the Association shall be the calendar year.

G. Budget and Accounting. The Board shall adopt a budget for each fiscal year. Such budget shall contain estimates of all costs and expenses for the proper operation, management and maintenance of the Condominium, including a reasonable allowance for contingencies and reserves, and shall take into account the projected income which is to be applied in reduction of the amounts required to be collected as an assessment each year. Common expenses also shall include the cost of maintaining leaseholds, memberships and other possessory or use interests in lands and facilities to provide enjoyment, recreation or other use or benefit to Dock Owners, all as may be now or hereafter acquired by lease or agreement in form and content, satisfactory to the Board, including amounts which the Association may agree to pay to Developer for services or availability of service, including management.

Upon its adoption, a copy of the budget shall be mailed to each Dock Owner within sixty (60) days after the end of each fiscal year. Assessments shall be established based upon such budget, although the delivery of a copy of the budget to each Dock Owner shall not affect the liability of any Dock Owner for such assessment.

The Association shall maintain accounting records which shall be open to inspection by Dock Owners or their authorized representatives at reasonable times. Written summaries of such accounting records shall be furnished to Dock Owners or their representatives annually.

H. Reserves.

1. General Operating Reserve. Each annual budget may include a sum to be collected and maintained as a general operating reserve, which sum may be used to meet deficiencies from time to time existing as a result of delinquent payment of assessments by Dock Owners or as a result of emergencies or to pay other costs or expenses placing financial stress upon the Association. The amount to be allocated to such operating reserve and collected therefor shall not exceed ten percent (10%) of the current annual assessment levied against all of the Dock Owners. Upon accrual in the operating reserve of a sum equal to thirty percent (30%) of the current annual assessment, no further payment shall be collected, unless such operating reserve shall be reduced below the thirty percent (30%) level, in which event, contributions to such operating reserve shall be included in the annual assessment so as to restore the operating reserve to thirty percent (30%) of the current annual assessment.
2. Reserves for Capital Expenditures and Deferred Maintenance. Each annual budget may include a sum to be collected and maintained as reserves to be used for capital expenditures and deferred maintenance, all as more particularly provided for in § 718.112(f)(2) of the Florida Statutes.

I. Collections. All monies collected by the Association shall be treated as the separate property of the Association. Such monies may be applied by the Association to the payment of any expense of operating the Condominium, or to the proper undertaking of all acts and duties imposed upon it by virtue of this Declaration, the Articles of Incorporation and the By-Laws. As

monies for any assessment are paid to the Association by any Dock Owner, the same may be commingled with monies paid to the Association by the other Dock Owners. Although all funds and the common surplus shall be held for the benefit of the members of the Association, no member shall have the right to assign, hypothecate, pledge or in any manner transfer his membership interest therein, except as an appurtenance to his Dock. When a Dock Owner shall cease to be a member of the Association, the Association shall not be required to account to him for any share of the funds or assets of the Association, or for any sums which he may have paid to the Association.

J. Alterations.

1. By Dock Owners. No Dock Owner shall make or cause to be made any structural alterations to his Dock or Limited Common Elements without the prior written consent of the Board. No Dock Owner shall make or cause to be made any change to the common elements without the prior written consent of the Association.
2. By the Association. The Association, by unanimous consent of the Dock Owners and the Developer, shall have the right to make or cause to be made alterations or improvements to the common elements which do not prejudice the rights of any Dock Owner in the use and enjoyment of his Dock; provided that the making of such alterations or improvements shall be approved by the Board, and the cost thereof shall be a common expense. However, where any alterations and improvements are exclusively, or substantially exclusively, for the benefit of those Dock Owner(s) requesting the same, then the cost thereof shall be assessed against and collected solely from such Dock Owner(s) in the proportion as may be determined by the Board.

K. Prohibited Uses. No immoral, improper, offensive or unlawful use shall be made of any Dock or of the Common Elements, Limited Common Elements or any part thereof. No Dock Owner shall permit or suffer anything to be done or kept in his Dock, or on the Common Elements or Limited Common Elements which would: (1) increase the rate of insurance on the Condominium; (2) obstruct or interfere with the rights of other Dock Owners; (3) annoy other Dock Owners by unreasonable noises; or (4) interfere with the peaceful possession and proper use of any other Dock, the Common Elements or the Limited Common Elements. The Board shall have the power to levy fines for any violation of this paragraph (K).

ARTICLE X

IMPROVEMENT ASSOCIATION

A. Membership. In order to be eligible to purchase a Dock, each prospective purchaser must apply for and be approved for membership in Ocean Reef Improvement Association, Inc.(ORIA). Each successor or assign of the Dock Owner must apply and be approved for membership in ORIA before the Dock may be conveyed to him. Membership shall not be required for an institutional lender which acquires title by foreclosure proceedings or deed in lieu of foreclosure.

B. Dues and Assessments. Every member of ORIA shall be responsible for the payment of all dues and assessments levied against him by ORIA, which shall be a lien against such member's Dock.

C. Default. If any dues or assessments are not paid to ORIA on or before the due date for such payment, the member shall be deemed to be in default.

D. Remedies. Nothing herein shall restrict ORIA's remedies against a defaulting member.

ARTICLE XI

RIGHTS TO SELL, LEASE AND MORTGAGE

With the exceptions of the transfer of ownership of any Dock by Developer and such transfer by and between spouses, no Dock Owner may sell or lease his Dock or any interest therein, except by complying with the following provisions:

A. Notice of Outside Offer; Association's Right of First Refusal. Any Dock Owner who receives a bona fide written offer (hereinafter called an "outside offer") which he intends to accept for either the purchase or lease of his Dock shall: (a) give notice to the Association, by registered or certified mail, of such offer and intention, together with the name, address, business, occupation or employment, if any, of the proposed purchaser or lessee and the terms of the proposed transaction and shall enclose with such notice an executed copy of the outside offer; and (b) offer to sell or lease such Dock to the Association or its designee, on the same terms and conditions as contained in such outside offer.

The giving of such notice shall constitute a representation and warranty to the Association that such Dock Owner believes the outside offer to be bona fide. Within ten (10) days after receipt of such notice, the Association may elect, by notice to such Dock Owner sent by registered or certified mail, to purchase such Dock or to lease such Dock, or to cause the same to be purchased or leased by its designee, on the same terms and conditions as contained in the outside offer.

B. Association's Election to Purchase or Lease. In the event the Association shall elect to purchase such Dock or to lease such Dock, or to cause the same to be purchased or leased by its designee, title shall close at a place chosen by the Association within ninety (90) days after the date of the Association's notice of its election to accept such offer. If such Dock is to be sold, the Dock Owner shall convey the same to the Association or to its designee by warranty deed. If such Dock is to be leased, the Dock Owner shall execute and deliver to the Association or to its designee a lease between the Dock Owner, as landlord, and the Association or its designee, as tenant, covering such Dock, for the rental and term contained in such outside offer.

C. Association's Failure to Make Election. In the event the Association or its designee shall fail to accept such offer within ten (10) days of receiving proper notice thereof, the Dock Owner shall be free to enter into a contract on the outside offer.

D. Subsequent Offers. In the event that the Dock Owner shall not consummate the contract to sell or lease pursuant to all of the terms and conditions set forth in his notice to the Association, then should such Dock Owner thereafter elect to sell or lease such Dock to the same or another outside offeror on the same or other terms and conditions, the Dock Owner shall be required again to comply with all of the provisions of this Article.

E. Application of Condominium Documents to Grantee or Lessee. The acceptance of a deed to a Dock by an outside offeror shall constitute an assumption by the outsider offeror of the provisions of this Declaration, the By-Laws and the Rules and Regulations, as the same may be amended from time to time. Every such lease shall provide: (a) that such Dock may not be sublet without the prior written approval of the Board; (b) that the lessee shall comply with and abide by all of the provisions of this Declaration, the By-Laws and the Rules and Regulations; (c) that the lease may not be modified, amended, extended or assigned, without the prior written consent of the Association; and (d) that the Board shall have power to terminate such lease or to bring summary proceedings to evict the tenant in the name of the landlord thereunder, in the event of default by the tenant in the performance of such lease.

Should any lease not comply with such covenants, then the Association shall have the right to cancel and terminate such lease, all without any obligations to the Dock Owner, and in such respect, the Association shall be regarded as the Dock Owner's agent, fully authorized to take such steps as may be necessary to effect the cancellation and termination of such lease.

F. Dock Owner's Continuing Liability on Lease. The liability of the Dock Owner under these covenants shall continue, notwithstanding the fact that he may have entered into a lease as provided herein.

G. Violation of Procedures by Dock Owner; Association's Right of Redemption. In the event that a Dock Owner shall lease or sell such Dock without giving written notice to the Association as herein provided, so that the Board is not afforded the opportunity to elect to lease or purchase the Dock prior to the consummation of such lease or purchase, then the Association shall have the right to redeem the Dock from such lease or sale transaction by reimbursing the tenant for the amount of any rent paid in advance, in which case such tenant shall execute a lease in favor of the Association identical with that being redeemed, or by refunding to the purchaser of such Dock the price paid therefor, in which case such purchaser shall convey the Dock to the Association or its designee.

The right of redemption granted herein shall exist for a period of six (6) months from the date on which such lease or sale may be consummated without prior notice to the Board as required herein.

H. Restrictions on Association's Right of First Refusal. The right of first refusal shall not apply to any of the following:

1. the foreclosure or other judicial sale of a Dock, although the title of the purchaser at any foreclosure or judicial sale shall thereafter be subject to the right of first refusal granted to the Association pertaining to the lease or sale of such Dock;
2. the conveyance made by the Dock Owner to an institutional lender in lieu of foreclosure;
3. the lease, sublease, listing for lease, sale or purchase of any Dock to or by Developer. Any sublease or lease by a Dock Owner to a party approved by Developer, or made through the auspices of Developer, shall be treated as though it were a sublease or lease made to or by Developer.

ARTICLE XII

INSURANCE AND RECONSTRUCTION

A. Dock Owner's Hazard Insurance. Each Dock Owner shall bear the risk of loss and damage to his Dock and any and all boats, ships, or vessels, furniture, personal effects and other personal property belonging to him or carried on his person which property is located either in the Dock or in or on the common elements. The foregoing shall not apply: (a) to any property constituting a portion of the common elements; or (b) to fixtures, installations or additions covered by the Association's hazard policy as described in Paragraph E of this Article.

Each Dock Owner may, at his own expense, obtain insurance coverage for loss of or damage to his Dock and any of his personal property.

B. Dock Owner's Liability Insurance. Each Dock Owner shall be liable for injuries or damages resulting from an accident on his own Dock, to the same extent that a homeowner would be liable for an accident occurring within his house.

Each Dock Owner may, at his own expense, obtain insurance coverage against personal liability for injury to the person or property of another while within such Owner's Dock or upon the Common Elements, or Limited Common Elements.

No Dock Owner shall be liable personally for any damages caused by the Association in connection with the use of the Common Elements, or Limited Common Elements.

C. Requirements Concerning Dock Owner's Insurance. All such insurance obtained by any Dock Owner shall, wherever available, state that the insurer waives its right of subrogation as to any claims against: (a) other Dock Owners; (b) the Association; and (c) the respective servants, agents and guests of other Dock Owners.

D. Association's Hazard Insurance. The Association shall maintain casualty insurance covering all of the common elements in an amount either: (1) equal to the maximum insurance replacement value thereof, exclusive of excavation and foundation costs, as determined annually by the insurance carrier; or (2) if approved by the Board, not less than eighty percent (80%) co-insurance basis. Such coverage shall afford protection against: (a) loss or damage by fire or other hazards covered by the standard extended coverage or other perils endorsement, subject to such deductible provision as the Board may approve from time to time; and (b) such other risks as customarily are or shall be covered with respect to similar construction, location and use to the Condominium, including vandalism, malicious mischief, windstorm, hurricane, water damage and war risk, if available.

E. Association's Liability Insurance. The Association shall maintain public liability insurance in such amounts and in such forms as shall be necessary to protect the Association. All such liability insurance shall contain endorsements to cover all of the Dock Owners as a group.

F. Association's Workmen's Compensation Insurance. The Association shall maintain workmen's compensation insurance to meet the requirements of law.

G. Other Types of Insurance. The Association may obtain from time to time such other insurance coverage as the Board shall deem necessary and proper.

H. Purchase of Association's Insurance. All authorized insurance shall be purchased by the Board. The cost of the insurance shall be a common expense, as shall be any other fees and expenses incurred which may be necessary or incidental to carrying out the provisions hereof.

I. Inspection of Policies. A copy of each insurance policy in effect shall be made available for inspection by Dock Owners at reasonable times.

J. Selection of Insurance Carrier(s). The Board shall have the right to select the insurance carrier(s) from whom insurance coverage may be obtained. All parties beneficially interested in such insurance coverage shall be bound by the selections so made. However, the foregoing shall not be to the exclusion of the rights reserved to institutional lenders hereunder.

K. Association as Authorized Agent. The Association shall be authorized agent for all of the Dock Owners for: (a) filing proofs of loss required under any policy of fire and casualty insurance; and (b) negotiating and agreeing to settlements as to the value and extent of any loss which may be covered under any policy of fire and casualty insurance. The Association shall have full right and authority to execute in favor of any insurer a release of liability arising out of any occurrence covered by any policy of fire and casualty insurance and resulting in loss of or damage to insured property. Any proof of loss and/or any release of liability executed by the Association shall be binding upon all Dock Owners, their respective mortgagees and other parties who may claim any lien or encumbrance upon their respective Docks.

L. Insurance Trustee. The Board, in its discretion, may designate an Insurance Trustee which shall be a banking institution having trust powers and doing business in the State of Florida.

The sole duty of the Insurance Trustee shall be to receive such proceeds of fire and casualty insurance as are paid and to hold same in trust for the purposes herein stated, and for the benefit of the Association and the Dock Owners and their respective mortgagees. Such insurance proceeds shall be disbursed by the Insurance Trustee as hereinafter provided.

The Insurance Trustee shall not be liable for any of the following: (1) the payment of premiums; (2) the renewal of any policy of fire and casualty insurance; (3) the sufficiency of coverage; (4) the form or content

of any policy; (5) the failure to collect any insurance proceeds. The Insurance Trustee shall be liable only for its willful misconduct, bad faith or gross negligence, and then only for such money which comes into its possession. Whenever the Insurance Trustee may be required to make distribution of insurance proceeds to Dock Owners and their mortgagees, as their respective interests may appear, or to any other party, the Insurance Trustee may rely upon a certificate of the President and Secretary of the Association. Such certificate shall be provided to the Insurance Trustee upon its request to the Association, and shall certify to the Insurance Trustee the name of each Dock Owner and the name of each mortgagee for the Dock.

All policies of fire and casualty insurance covering the Condominium may provide for the insurance proceeds covering any loss to be payable to the Insurance Trustee, or to its successor.

If an Insurance Trustee is appointed, the Association shall pay, to the Insurance Trustee as a common expense: (1) a reasonable fee for its services rendered hereunder; and (2) such costs and expenses as the Insurance Trustee may incur in the performance of any duties and obligations imposed upon it hereunder.

M. Insurance Proceeds. In the event of loss or damage to property covered by fire and casualty insurance, the Association shall, within sixty (60) days after any such occurrence, obtain reliable and detailed estimates of the cost to restore such damaged property to condition as good as that before such loss or damage. Such estimates shall include the cost of any professional fees and the premium for such bond as the Board of Administration may deem necessary and proper.

1. Distribution of Excess Proceeds. In the event of loss or damage which is covered by the fire and casualty insurance, the proceeds received by the Association or the Insurance Trustee shall be applied to the repair, replacement or reconstruction of such loss or damage. If the proceeds are in excess of the cost of the repair, replacement or reconstruction, then such excess proceeds shall be paid separately by the Association or Insurance Trustee to each of the Dock Owners and their respective mortgagees in proportion to their common interests.
2. Assessment Where Proceeds Are Insufficient. If it shall appear that the insurance proceeds covering the fire and casualty loss or damage payable to the Association or the Insurance Trustee are insufficient to pay for the repair, replacement or reconstruction of the loss or damage sustained by the common elements, then the Association shall deposit a sum which, together with the insurance proceeds, will be sufficient to completely pay for the repair, replacement or reconstruction of any such loss or damage. The monies deposited by the Association in such event, may be drawn from the replacements reserve fund. If the sum in such fund is insufficient, then the Association shall levy and collect an assessment proportionally against all the Dock Owners, in the amount needed to pay for such repair, replacement or reconstruction. Such assessment shall be collected not later than thirty (30) days from the date the Association or the Insurance Trustee receives the insurance proceeds.
3. Loss and/or Damage Not Exceeding \$15,000. Anything herein to the contrary notwithstanding, in the event of loss of or damage to common elements, where the loss or damage is established as not more than \$15,000.00 (regardless of the amount which may be available under any applicable insurance policy or policies), the insurance proceeds shall be paid to the Association. The Association thereafter shall be responsible for the repair, replacement and reconstruction of the subject property.

In the event of any loss or damage to personal property belonging to the Association (which may be a part of the Common Elements) which the Association determines not to replace or restore the insurance proceeds applicable thereto: (1) shall be paid by the Association and/or the Insurance Trustee to all Dock Owners and their relative mortgagee(s) as their interest may appear, in the manner and in the proportions hereinabove provided; or (2) at the election of the Association, may be (a) held by the Association for the future replacement or restoration of the personal property lost or damaged, or (b) retained and used as an additional operating or replacements reserve, or (c) used to reduce the common expenses of the Association, or (d) used as the Board shall deem proper.

4. Contracts for Repair, Replacement or Reconstruction. Before they may become binding, all contracts for repair, replacement or reconstruction of loss or damage shall be approved by the Board. The Board may authorize the Insurance Trustee to make payments under such contracts. The Board may enter into such agreements with the Insurance Trustee as it may deem in the best interest of the Association for the purpose of effectuating the intent hereof.

N. Self-Insurance. In the event that there are no mortgages on any of the Docks, then upon unanimous consent of all of the Dock Owners, the Dock Owners may become self-insured with each Dock Owner assuming this individual responsibility and, correspondingly, the responsibility each to the others.

ARTICLE XIII

INSTITUTIONAL LENDERS

So long as any institutional lender(s) shall hold any mortgage upon any Dock(s) or shall be the Owner of any Dock(s), such institutional lender(s) shall have the following rights which may be exercised by written notice to the Association:

A. To approve each company chosen by the Association with which casualty insurance is placed and the amount of such casualty insurance to be carried.

B. To approve the Insurance Trustee, if one is designated by the Association.

C. To be furnished, within sixty (60) days following the end of each calendar year, with a copy of the annual financial statement and report of the Association, prepared by an accountant designated by the Association, including a detailed statement of annual carrying charges or income collected and operating expenses.

D. To be given notice by the Association of any meeting of the membership held for the purpose of considering any proposed amendment to this Declaration, or to the Articles of Incorporation or the By-Laws, which notice shall state the nature of the amendment being proposed.

E. To be given written notice of default by any Dock Owner, whose Dock is encumbered by a mortgage held by such lender, such notice to be sent to the principal office of such lender.

Any institutional lender seeking to come within the provisions of this Article shall serve written notice of such intention upon the Association, by registered or certified mail, which notice shall: (1) identify the Dock(s) upon which each such institutional lender holds any mortgage(s); (2) identify any Dock(s) owned by each such lender together with sufficient pertinent facts to identify such mortgage on such Dock(s); and (3) designate the place to which notices are to be given by the Association to each such institutional lender.

ARTICLE XIV

REMEDIES IN EVENT OF DEFAULT

Each Owner, tenant and occupant of a Dock shall comply with the provisions of this Declaration, the Articles of Incorporation and the By-Laws of the Association, as the same may be amended from time to time. Failure to comply therewith shall be grounds for relief which may include an action for damages, injunctive relief, foreclosure of lien or any combination thereof. Such relief may be sought by the Association or ORIA.

Each Dock Owner shall be liable for the expense of any maintenance, repair or replacement rendered necessary by his act, neglect or carelessness, or by the act of any member of his family, any guest, employee, agent or lessee, but only to the extent that such expense is not met by the insurance proceeds paid to the Association. Such liability shall include any increase in fire insurance rates occasioned by use, misuse, occupancy or abandonment of a Dock or its appurtenances. Nothing herein, however, shall be construed so as to modify any waiver by insurance companies of rights of subrogation.

If the Association is successful in any such proceeding, it shall be entitled to recover the costs of the proceeding, and such reasonable attorneys' fees as may be determined by the Court.

The failure of the Association or of a Dock Owner to enforce any rights, provisions, covenant or condition which may be granted by this Declaration or other Condominium documents shall not constitute a waiver to enforce such rights, provisions, covenant or condition in the future.

All rights, remedies and privileges granted to the Association or the Dock Owners pursuant to any terms, provisions, covenants or conditions of this Declaration or other Condominium documents, shall be deemed to be cumulative, and the exercise of any one or more shall not be deemed to constitute an election of remedies, nor shall it preclude the party thus exercising the same from exercising such other and additional rights, remedies or privileges as may be available at law or in equity. The failure of Developer to enforce any rights, privileges, covenant or condition which may be granted to the Developer by this Declaration or other above mentioned document shall not constitute waiver of the right of Developer thereafter to enforce such right, provision, covenant or condition in the future.

The failure of institutional lender(s) to enforce any right, provision, privilege, covenant or condition which may be granted by this Declaration or other Condominium documents, shall not constitute waiver of the right of such lender(s) thereafter to enforce such right, provision, covenant or condition.

ARTICLE XV

REGISTER OF OWNERS AND MORTGAGEES

The Association shall at all times maintain a register setting forth the name of each Dock Owner. In the event of the sale or transfer of any Dock to a third party, the purchaser or transferee shall notify the Association in writing of his interest in such Dock, together with such recording information as shall be pertinent to identify the instrument by which such purchaser or transferee has acquired his interest in any Dock. Further, each Dock Owner shall immediately notify the Association of any and all mortgages on the Dock, the mortgagee(s), the amount of such mortgage(s) and all pertinent recording information. The mortgagee(s) for any Dock may notify the Association of the existence of any such mortgage(s). Upon receipt of such notice, the Association shall register in its records all pertinent information.

ARTICLE XVI

TERMINATION OF CONDOMINIUM

A. Method of Termination. This Condominium may be terminated upon proof of compliance with the following requirements:

1. consent of all of the Dock Owners to such termination, evidenced by a recorded instrument to that effect; and
2. written consent of all of the holders of mortgages and recorded liens affecting any of the Docks.

B. Effect. Upon such termination, the Condominium property shall be owned in common by the Dock Owners in the same undivided shares as each Owner previously owned in the common elements.

C. Termination in Lieu of Reconstruction. In the event of fire or other casualty or disaster which shall totally demolish the Condominium or more than two-thirds (2/3) of the improvements, then this Declaration shall terminate, unless: (a) the Owners of at least two-thirds (2/3) Docks agree that the Condominium shall be reconstructed; or (b) the applicable casualty insurance coverage requires the reconstruction as a condition precedent to the payment of insurance proceeds. Notwithstanding that all Dock Owners agree to such reconstruction, or that the casualty insurance coverage requires such reconstruction, this Declaration shall be terminated if any regulation or order of any governmental authority having jurisdiction over the Condominium prevents such reconstruction. Nothing contained in this Article shall be construed as releasing or changing any obligation which may be owed to the Association, for itself or the Dock Owners, under any insurance policy or policies. Reference to two-thirds (2/3) of the improvements shall be taken to mean two-thirds (2/3) of the total value of all of the improvements as of the day prior to the event(s) causing such damage or destruction, as determined by the Board.

If this Declaration is to be terminated after destruction of the Condominium, then a certificate of resolution of the Board to such effect and notice of cancellation and termination shall be executed by the President and Secretary of the Association in recordable form and recorded in the Public Records of Monroe County, Florida. Upon such termination, all Dock Owners shall be tenants in common as to ownership of the common elements and the common surplus in the proportions of their interests. The lien of any mortgage or other encumbrance upon each Dock shall attach, in the same order or priority, to the percentage of undivided interest of the Dock Owner. Upon termination of this Declaration and within sixty (60) days from the date of recording of the certificate of resolution, the Owner(s) of all Docks still usable shall deliver possession of their respective Dock(s) to the Association. Upon termination of this Declaration, the Association or the Insurance Trustee shall distribute the insurance indemnity due under any casualty insurance coverage to the Dock Owners and their mortgagees, as their respective interests may appear, in accordance with their common interests as hereinbefore provided. The assets of the Association, upon termination shall be distributed to all of the Dock Owners and their mortgagees, as their respective interests may appear, in the same manner as provided for the distribution of any final insurance indemnity.

D. Creation of New Condominium. The termination of this Condominium shall not bar the creation of another condominium affecting all or any portion of the same property.

ARTICLE XVII

AMENDMENTS

A. Proposal. Amendment(s) to this Declaration may be proposed by: (1) the Board acting upon a majority vote; or (2) members of the Association owning a majority of the Docks in the Condominium. Such proposed amendment(s) shall be transmitted to the President of the Association (or other officer in the President's absence) who shall thereupon call a special meeting of the

members of the Association for a date not sooner than twenty (20) days nor later than sixty (60) days from receipt by him of the proposed amendment(s).

B. Notice. The Secretary shall give each member written notice of such special meeting, stating the time and place thereof, and reciting the proposed amendment(s) in reasonably detailed form, which notice shall be mailed not less than ten (10) day nor more than thirty (30) days before the date set for such special meeting. Any member may waive such notice in writing and such waiver, when filed in the records of the Association, whether before or after the meeting, shall be deemed equivalent to the giving of such notice to such member.

C. Adoption. At such meeting, an affirmative vote of members owning not fewer than a majority of the Docks shall be required for the approval of any proposed amendment(s). Thereupon, such amendment(s) shall be transcribed and certified by the President and Secretary as having been duly adopted. The original or an executed copy thereof, certified and executed with the same formalities as a deed, shall be recorded in the Public Records of Monroe County, Florida, within ten (10) days from the effective date of such amendment(s). Such certificate of amendment(s) shall refer specifically to the recording data identifying this Declaration. Thereafter, a copy of such amendment(s) in recorded form shall be delivered to all of the Dock Owners, but such delivery shall not be a condition precedent to the effectiveness of such amendment(s).

At an amendment meeting, a member may submit his written vote in lieu of attending such meeting or in lieu of being represented by proxy, provided that such written vote is delivered to the Secretary of the Association prior to such meeting or at such meeting.

D. Prohibition of Certain Amendments. Anything herein to the contrary notwithstanding, the following matters shall not be amended without the prior written consent of all Dock Owners: (1) the common interest appurtenant to each Dock; (2) the basis for sharing common expenses and other apportionment of assessments which may be levied by the Association; (3) the basis for sharing common expenses and other apportionment of assessments which may be levied by the Association; (4) the basis of ownership of common surplus; (5) voting rights; and (6) the right to lease Docks, (7) termination of the Management Agreement without the unanimous written consent of all Dock Owners.

Notwithstanding anything herein to the contrary, the rights and privileges granted and reserved hereunder in favor of institutional lenders shall not be amended without the prior written consent of all institutional lenders holding mortgages on Docks.

Notwithstanding anything herein to the contrary, the rights and privileges granted and reserved hereunder in favor of Developer shall not be amended without the prior written consent of Developer.

ARTICLE XVIII

MISCELLANEOUS PROVISIONS

A. Effect. The restrictions and burdens imposed by the covenants of this Declaration shall constitute covenants running with the land, and shall constitute an equitable servitude upon each Dock. This Declaration shall be binding upon Developer, its successors and assigns, and upon all parties who may subsequently become Dock Owners in the Condominium, and their respective heirs, legal representatives, successors and assigns.

B. Severability. In the event that any of the terms, provisions or covenants of this Declaration are held to be invalid or unenforceable for any reason whatsoever, such holding shall not affect, alter, modify or impair in any manner any of the other terms, provisions or covenants hereof or the remaining portions of any terms, provisions or covenants.

C. Interpretation of Content. Whenever the context so requires, the use of any gender shall be deemed to include all genders, and the use of the singular shall include the plural, and plural shall include the singular.

The provisions of this Declaration shall be liberally construed to effectuate its purpose of creating a uniform plan for the operation of a Condominium.

D. Captions. The captions used in this Declaration and exhibits annexed hereto are inserted solely as a matter of convenience and shall not be used in construing the effect or meaning of any of the text of this Declaration or exhibits.

E. Limitation on Warranties and Representations. Other than as set forth in Florida Statutes, §718.203, Developer specifically disclaims any intent to have made any warranty or representation in connection with the Condominium property or the Condominium documents, except as specifically set forth therein, and no person shall rely upon any warranty or representation not so specifically made therein. Any estimates of common expenses, taxes or other charges are deemed accurate, but no warranty or guaranty is made or intended, nor may one be relied on.

F. Notices. Whenever notices are required to be sent hereunder, the same may be delivered to Dock Owners, either personally or by mail, addressed to such Dock Owners at their place of residence in the Condominium property, unless the Dock Owner has, by written notice duly receipted for, specified a different address. Proof of such mailing or personal delivery by the Association shall be given by the affidavit of the person mailing or personally delivering said notices.

Notices to the Association shall be delivered by mail to the office of the Association at: Ocean Reef Club, Key Largo, Florida 33037.

Notices to Developer shall be delivered by mail at: Ocean Reef Club, Key Largo, Florida 33037.

All notices shall be deemed given when mailed. Any party may change his mailing address by written notice duly receipted for. Notices required to be given the personal representative of a deceased Owner, or devisee when there is not a personal representative, may be delivered either personally or by mail to such party at his or its address appearing in the records of the court wherein the estate of such deceased Owner is being administered.

G. Schedule of Exhibits. Exhibits attached hereto and made a part hereof are the following:

- Exhibit A - Legal Description,
- Exhibit B - Survey, Graphic Description and Plot Plans,
- Exhibit C - Schedule of Interest in Common Elements, Common Expenses, and Common Surplus,
- Exhibit D - Articles of Incorporation of Gatehouse Dock Condominium Association, Inc.
- Exhibit E - By-Laws of Gatehouse Dock Condominium Association, Inc.
- Exhibit F - Estimated Operating Budget for First Year of Operation for Gatehouse Dock Condominium Association, Inc.

IN WITNESS WHEREOF, GATEHOUSE DEVELOPMENT CORP. has caused these presents to be executed by its undersigned authorized officers and its Corporate Seal to be affixed hereto this _____ day of _____, 1988.

Signed, sealed and delivered
in the presence of:

GATEHOUSE DEVELOPMENT CORP.

By: _____
John Alan Sfire, President

STATE OF FLORIDA)
): ss
COUNTY OF MONROE)

I HEREBY CERTIFY that on this day, before me, an officer duly authorized in the State and County aforesaid to take acknowledgments, personally appeared Russell H. Post, well known to me to be the President of OCEAN REEF CLUB, INC., a Florida corporation, and he acknowledged executing the foregoing Declaration of Condominium in the presence of two subscribing witnesses freely and voluntarily under authority duly vested in him by said corporation.

WITNESS my hand and official seal in the County and State last aforesaid this 17th day of April, 1986.

Lori L. Palrud
Notary Public, State of Florida at Large

My Commission Expires:

LORI L. PALRUD
Notary Public State of Florida
My Commission Exp. Feb. 7, 1988
Bonded Thru General Ins. Und.

The undersigned, as a holder of record interest in a mortgage encumbering the land being submitted to condominium ownership, hereby joins in the execution of this Declaration of Condominium for the purpose of evidencing its consent thereto.

Signed, sealed and delivered
in the presence of:

GREAT AMERICAN LIFE INSURANCE CO.

[Signature]
Barbara A. Grosser

By:

[Signature]
Title: ASSISTANT SECRETARY

Attest:

[Signature]
Title: SECRETARY

(Corporate Seal)

STATE OF OHIO)
): ss
COUNTY OF HAMILTON

I HEREBY CERTIFY that on this day, before me, an officer duly authorized in the State and County aforesaid to take acknowledgments, personally appeared RONALD C. HAYES, and KAREN HOLLY HORNE, well known to me to be the Assistant Secy and Secretary of GREAT AMERICAN LIFE INSURANCE CO., an Ohio corporation, and they acknowledged executing the foregoing Declaration of Condominium in the presence of two subscribing witnesses freely and voluntarily under authority duly vested in them by said corporation.

WITNESS my hand and official seal in the County and State last aforesaid this 22nd day of APRIL, 1986.

Barbara A. Grosser
Notary Public, State of OHIO at Large

My Commission Expires:

BARBARA A. GROSSER
Notary Public, State of Ohio
My Commission Expires April 13, 1988

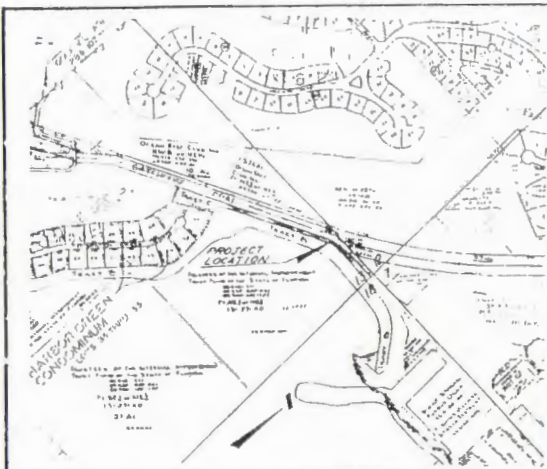
EXHIBIT "A"

LEGAL DESCRIPTION
GATEHOUSE DOCKS, A CONDOMINIUM

BEING A PORTION OF THE NORTHWEST ONE-QUARTER OF SECTION 18, TOWNSHIP 59 SOUTH, RANGE 41 EAST, "PLAT OF LANDS OF SEABOARD PROPERTIES, INC.", ACCORDING TO THE PLAT THEREOF AS RECORDED IN PLAT BOOK 4, PAGE 83 OF THE PUBLIC RECORDS OF MONROE COUNTY, FLORIDA, AND TOGETHER WITH PORTIONS OF TRACTS B AND C AND GATEHOUSE ROAD, "HARBOR COURSE SECTION THREE OCEAN REEF PLAT NO. 13", ACCORDING TO THE PLAT THEREOF AS RECORDED IN PLAT BOOK 7, PAGE 7, OF THE PUBLIC RECORDS OF MONROE COUNTY, FLORIDA, BEING MORE PARTICULARLY DESCRIBED BY METES AND BOUNDS AS FOLLOWS:

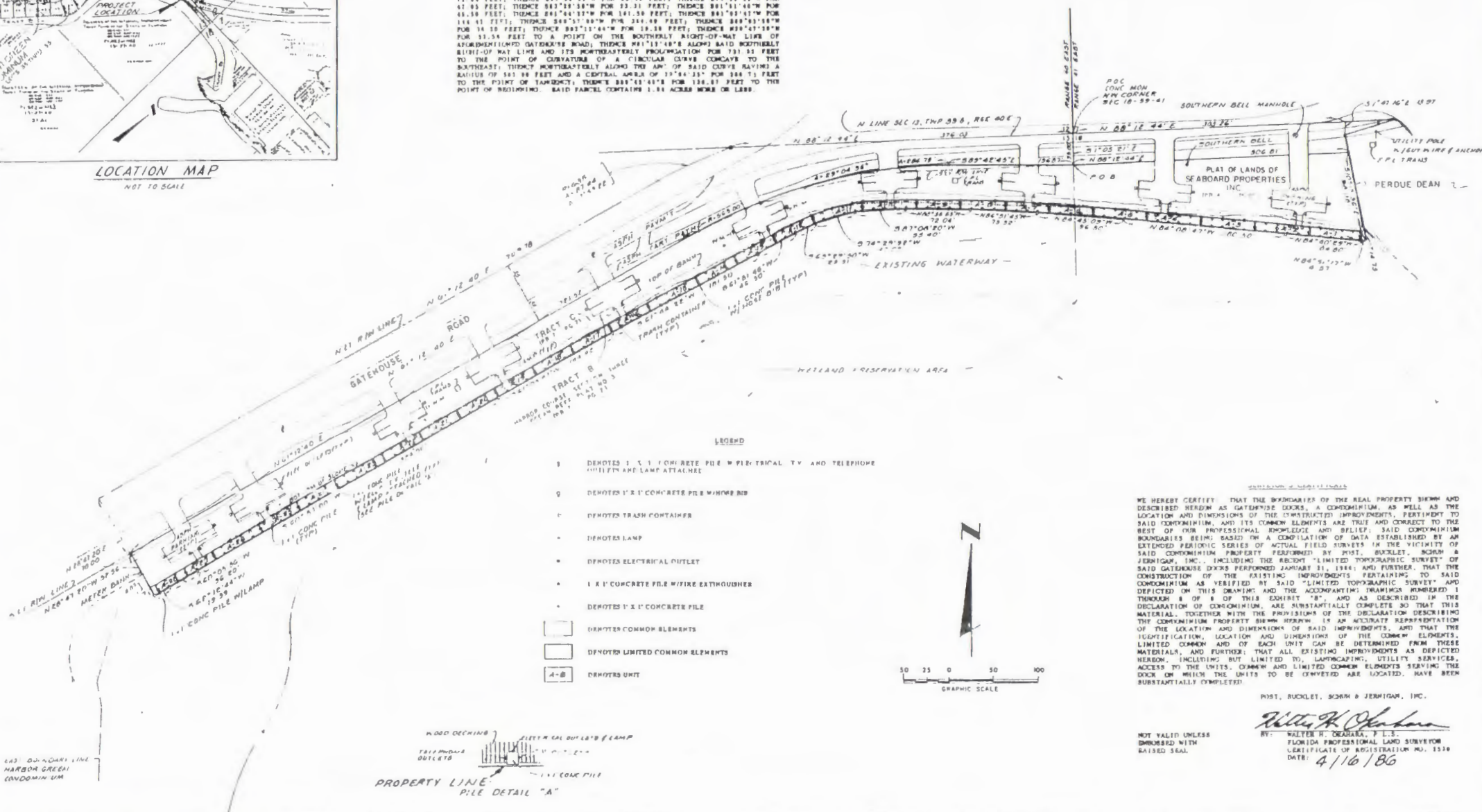
COMMENCE AT THE NORTHWEST CORNER OF SAID SECTION 18; THENCE S1°05'21"E ALONG THE WEST LINE OF SAID SECTION FOR 35.00 FEET TO THE POINT OF BEGINNING; THENCE N88°12'44"E FOR 306.81 FEET; THENCE S10°13'36"E FOR 98.05 FEET; THENCE N84°51'17"W FOR 4.57 FEET; THENCE N84°40'29"W FOR 84.80 FEET; THENCE N84°08'47"W FOR 180.50 FEET; THENCE N84°45'09"W FOR 96.50 FEET; THENCE N86°51'44"W FOR 73.32 FEET; THENCE N88°35'53"W FOR 72.04 FEET; THENCE S87°08'20"W FOR 55.40 FEET; THENCE S74°29'32"W FOR 47.05 FEET; THENCE S63°29'50"W FOR 23.31 FEET; THENCE S61°51'46"W FOR 46.50 FEET; THENCE S61°44'22"W FOR 181.50 FEET; THENCE S61°03'47"W FOR 144.42 FEET; THENCE S60°57'00"W FOR 384.00 FEET; THENCE S60°05'56"W FOR 36.20 FEET; THENCE S62°12'44"W FOR 19.39 FEET; THENCE N28°47'20"W FOR 52.56 FEET TO A POINT ON THE SOUTHERLY RIGHT-OF-WAY LINE OF AFOREMENTIONED GATEHOUSE ROAD; THENCE N61°12'40"E ALONG SAID SOUTHERLY RIGHT-OF-WAY LINE AND ITS NORTHEASTERLY PROLONGATION FOR 721.52 FEET TO THE POINT OF CURVATURE OF A CIRCULAR CURVE CONCAVE TO THE SOUTHEAST; THENCE NORTHEASTERLY ALONG THE ARC OF SAID CURVE HAVING A RADIUS OF 565.00 FEET AND A CENTRAL ANGLE OF 29°04'35" FOR 286.73 FEET TO THE POINT OF TANGENCY; THENCE S89°42'45"E FOR 136.87 FEET TO THE POINT OF BEGINNING. SAID PARCEL CONTAINS 1.84 ACRES MORE OR LESS.

04-359.21
Legal #2
March 14, 1986
Revised 4/8/86
BL/rg



LEGAL DESCRIPTION

BEING A PORTION OF THE NORTHWEST ONE-QUARTER OF SECTION 18, TOWNSHIP 18 NORTH, RANGE 41 EAST, "PLAT OF LAND OF RECREATION PROPERTIES, INC.", ACCORDING TO THE PLAT THEREOF AS RECORDED IN PLAT BOOK 6, PAGE 18 OF THE PUBLIC RECORDS OF MENARD COUNTY, FLORIDA, AND TOGETHER WITH PORTIONS OF TRACTS B AND C AND GAYNESDALE ROAD, "MAKING COARSE SECTION THREE (3) AND REEF PLAT NO. 1", ACCORDING TO THE PLAT THEREOF AS RECORDED IN PLAT BOOK 11, PAGE 15, OF THE PUBLIC RECORDS OF MENARD COUNTY, FLORIDA, BEING MORE PARTICULARLY DESCRIBED BY WATER AND SURROUND AS FOLLOWS:

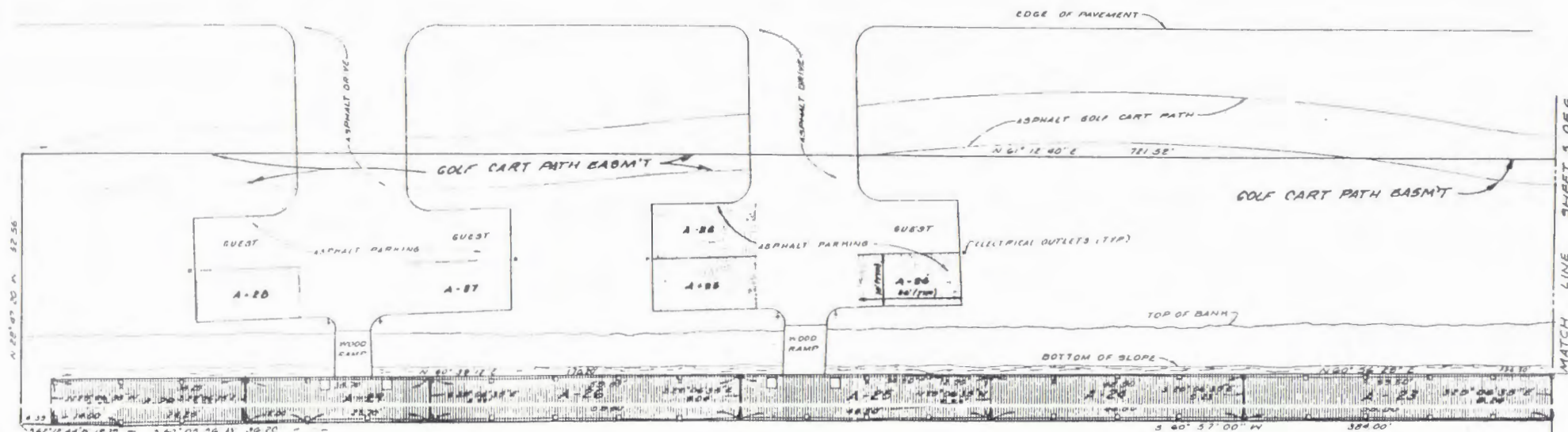
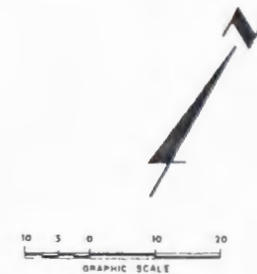
[illegible]

WE HEREBY CERTIFY THAT THE BOUNDARIES OF THE REAL PROPERTY SHOWN AND DESCRIBED HEREIN AS GATEWAYE COOKES, A CONDOMINIUM, AS WELL AS THE LOCATION AND DIMENSIONS OF THE CONSTRUCTED IMPROVEMENTS, PERTAINING TO SAID CONDOMINIUM, AND THE COMMON ELEMENTS ARE BASED UPON THE BEST AVAILABLE SURVEYAL INFORMATION KNOWN TO US AND WE FILED SAID CONDOMINIUM BOUNDARIES BEING BASED ON A COMPILATION OF DATA ESTABLISHED BY AN EXTENDED PERIODIC SERIES OF ACTUAL FIELD SURVEYS IN THE VICINITY OF SAID CONDOMINIUM DURING THE YEARS 1960-1978, BY JEROME L. JERNIGAN, INC., INCLUDING THE RECENT LIMITED TOPOGRAPHIC SURVEY OF SAID GATEWAYE COOKES PERFORMED JANUARY 31, 1984; AND FURTHER, THAT THE LOCATION AND DIMENSIONS OF THE CONSTRUCTED IMPROVEMENTS SHOWN ON THIS DECLARATION OF CONDOMINIUM, ARE SUBSTANTIALLY COMPLETE SO THAT THIS MATERIAL, TOGETHER WITH THE PROVISIONS OF THE DECLARATION DESCRIBING THE CONDOMINIUM FORMATION, PROVIDES FOR ALL NECESSARY IDENTIFICATION, IDENTIFICATION, LOCATION AND DIMENSIONS OF THE COMMON ELEMENTS, LIMITED COMMON AND OF EACH UNIT CAN BE DETERMINED FROM THESE RECORDS, INCLUDING BUT NOT LIMITED TO, LANDSCAPING, UTILITY SERVICES, ACCESS TO THE UNITS, COMMON AND LIMITED COMMON ELEMENTS SERVING THE UNITS, AND THEREFORE NO OTHER SURVEY IS LOCATED, HAVE BEEN OR WILL BE SUBSTANTIALLY COMPLETED.

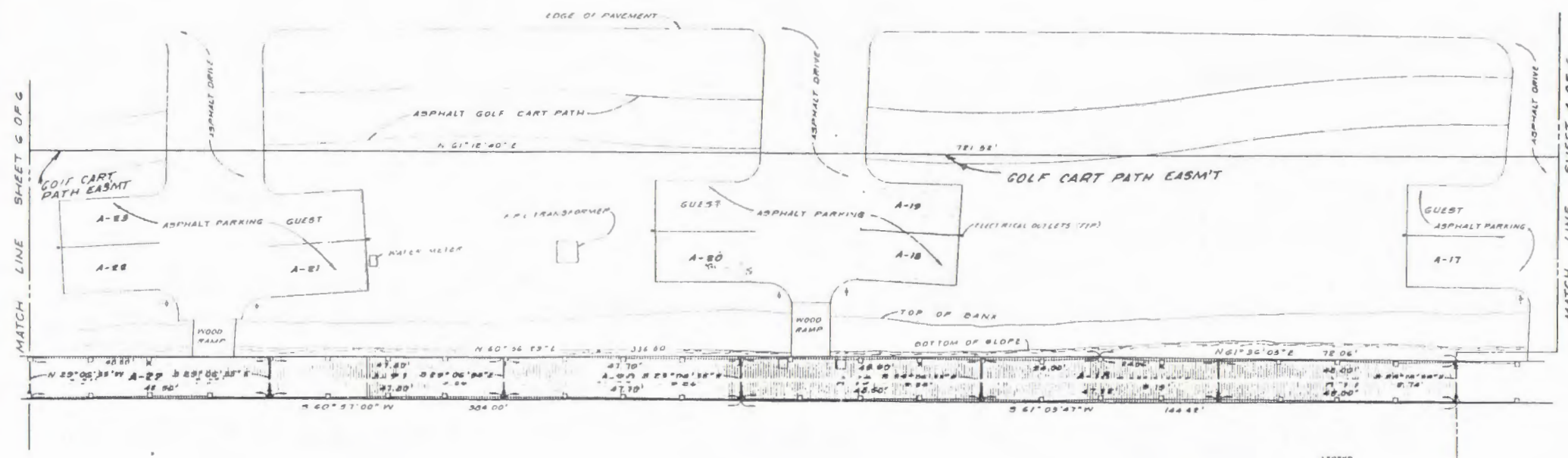
POST, RUCKLE, SCOTT & JERNIGAN, INC.

BY: Walter H. Oshara
WALTER H. OSHARA, P.L.S.
FLORIDA PROFESSIONAL LAND SURVEYOR
CERTIFICATE OF REGISTRATION NO. 132
DATE: 4/16/86

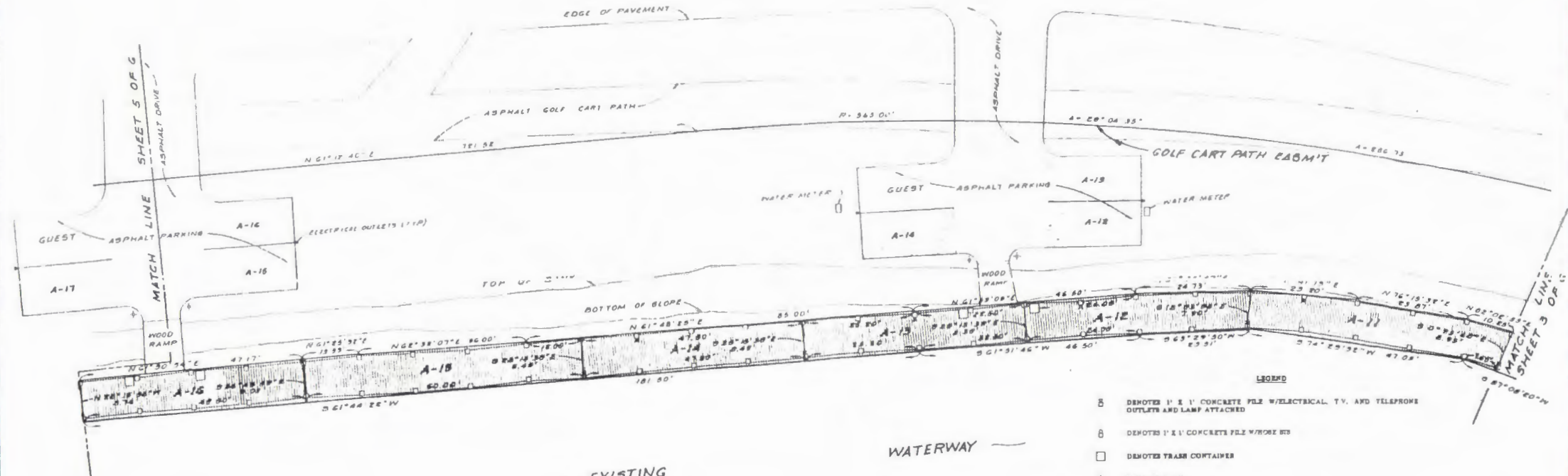
NOT VALID UNLESS
EMBOSSED WITH
RAISED SEAL.



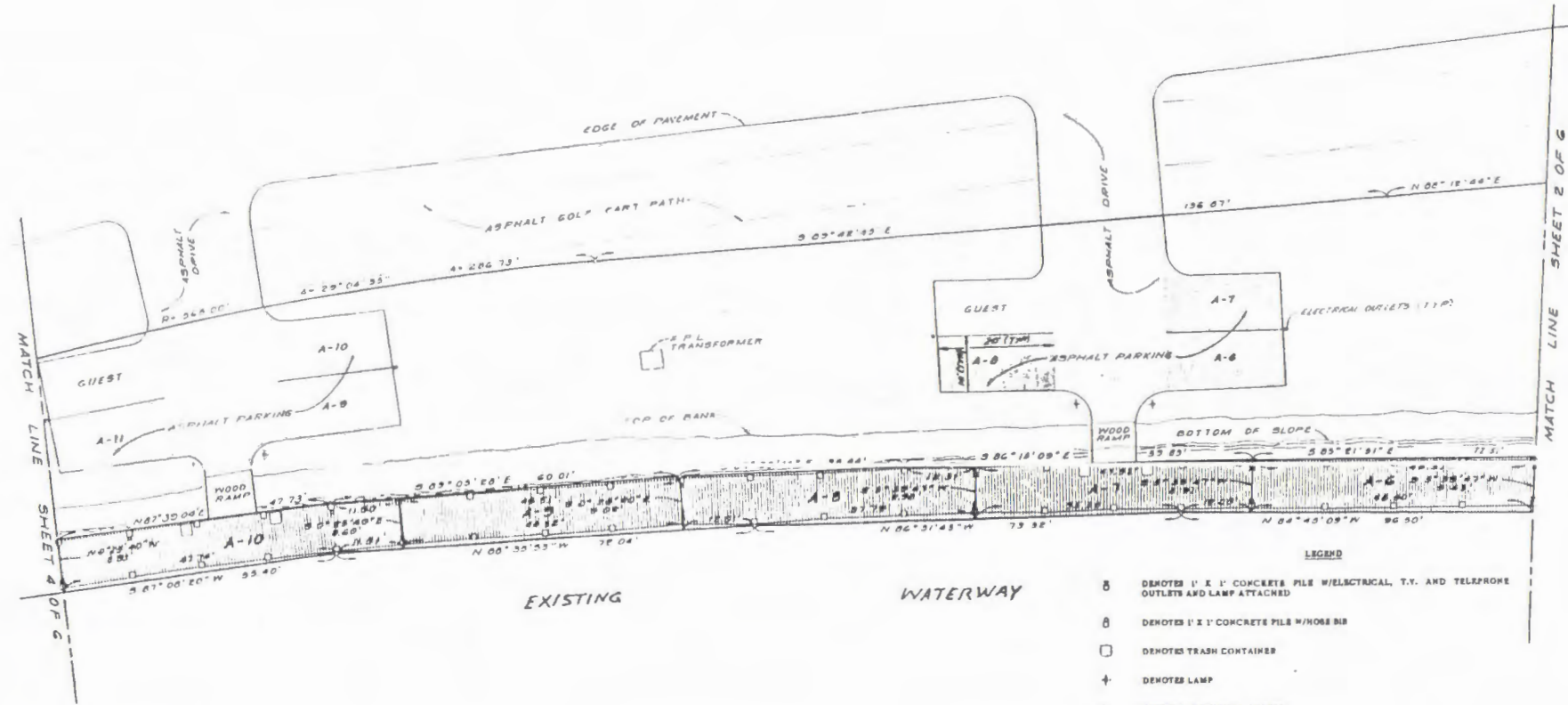
- LEGEND
- DENOTES 1" X 1" CONCRETE PILE W/ELECTRICAL, TV, AND TELEPHONE OUTLETS AND LAMP ATTACHED
 - DENOTES 1" X 1" CONCRETE PILE W/ROSE BB
 - DENOTES TRASH CONTAINER
 - † DENOTES LAMP
 - DENOTES ELECTRICAL OUTLET
 - ▽ DENOTES 1" X 1" CONCRETE PILE W/TIE EXTROUDHER
 - DENOTES 1" X 1" CONCRETE PILE
 - DENOTES COMMON ELEMENTS
 - DENOTES LIMITED COMMON ELEMENTS
 - DENOTES UNIT



DESIGN: LINDSAY	PREPARED FOR:	 OCEAN REEF CLUB, INC.	Post, Buckley, Schuh & Jernigan, Inc. CONSULTING ENGINEERS AND PLANNERS	GATEHOUSE DOCKS, A CONDOMINIUM OCEAN REEF CLUB	EXHIBIT "B"	3			DATE: 04-359-21		
DRAWN: CORTIZ							2			DATE: MARCH 1986	
CHECKED: HOBBS							1			SCALE AS SHOWN	SHEET 5 OF 6
C.D.: OKAHARA							NO	DATE	REVISION	APP'D BY	
North Key Largo Florida	1 NORTH BROWE AVENUE	HOMESTEAD	FLORIDA	NORTH KEY LARGO	MONROE COUNTY	FLORIDA					



- LEGEND**
- ⊗ DENOTES 1" x 1" CONCRETE PILE W/ELECTRICAL T.V. AND TELEPHONE OUTLETS AND LAMP ATTACHED
 - ⊗ DENOTES 1" x 1" CONCRETE PILE W/ROSE BUSH
 - DENOTES TRASH CONTAINER
 - ⊕ DENOTES LAMP
 - DENOTES ELECTRICAL OUTLET
 - ⊗ DENOTES 1" x 1" CONCRETE PILE W/TEE EXTINGUISHER
 - DENOTES 1" x 1" CONCRETE PILE
 - DENOTES COMMON ELEMENTS
 - ▨ DENOTES LIMITED COMMON ELEMENTS
 - ▩ DENOTES UNIT



- LEGEND**
- ⊗ DENOTES 1" X 1" CONCRETE PILE W/ELECTRICAL, T.V. AND TELEPHONE OUTLETS AND LAMP ATTACHED
 - ⊙ DENOTES 1" X 1" CONCRETE PILE W/HOSE BIB
 - DENOTES TRASH CONTAINER
 - ⊕ DENOTES LAMP
 - DENOTES ELECTRICAL OUTLET
 - ⊠ DENOTES 1" X 1" CONCRETE PILE W/FIRE EXTINGUISHER
 - DENOTES 1" X 1" CONCRETE PILE
 - DENOTES COMMON ELEMENTS
 - ▨ DENOTES LIMITED COMMON ELEMENTS
 - ▩ DENOTES UNIT

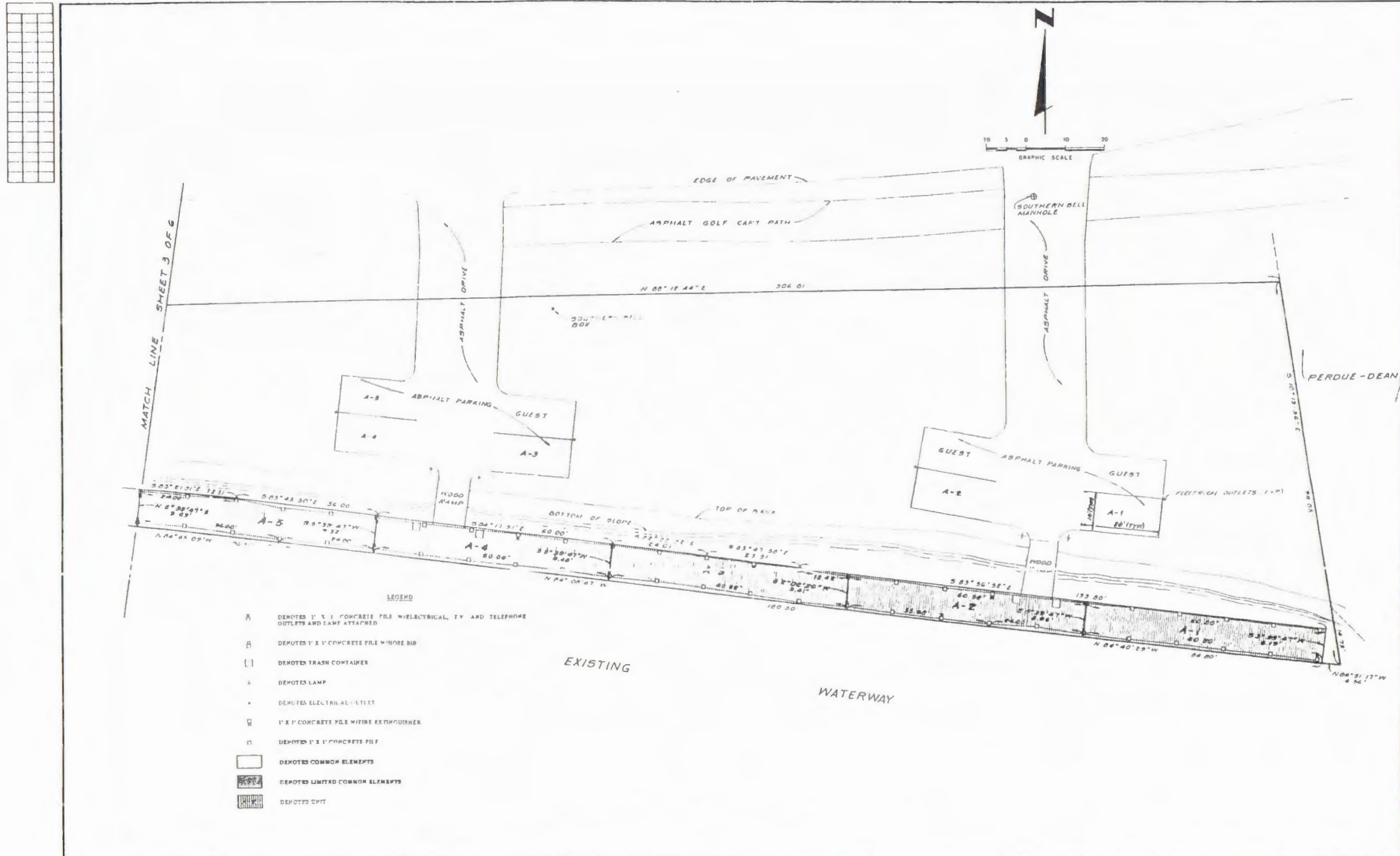


EXHIBIT "C"

SCHEDULE OF INTEREST IN COMMON ELEMENTS,
COMMON EXPENSES AND COMMON SURPLUS

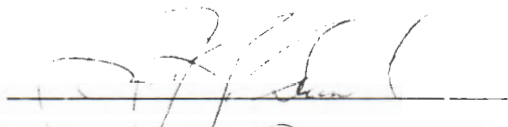
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A-2	.0420168
A-3	.0420168
A-4	.0420168
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A-7	.0336134
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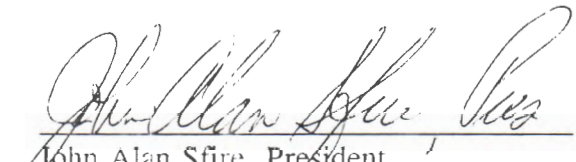
DEVELOPER'S AFFIDAVIT

This certifies that the enclosed Declaration of Condominium is, to the best of my knowledge, as successor developer, a complete copy of the actual recorded Declaration for the Gatehouse Docks Condominium Association.

WITNESSES:

GATEHOUSE DEVELOPMENT CORP.


Christine Romano


John Alan Sfere, President

NOTARY PUBLIC:

20th day of June, 1993

